

ECON 0100 | Exercise C2 | Taxes

In recent years Hogsmeade has seen a proliferation of candy shops selling smoked toffees. The Demand (marginal benefit) curve and Supply (marginal cost) curve for smoked toffee can be represented by the following relationships.

$$D : P_b = 20 - \frac{1}{2}Q_d \qquad S : P_s = Q_s$$

Due to the metabolic issues among the younger generation of wizards in the community resulting from the consumption of these high glycemic index treats, the Ministry of Magic imposed a 2 Galleon tax on the sale of smoked toffee.

Q1 | Tax Equilibrium

Use a graph and algebra to discuss the impact of the tax on the market. No need to include welfare measures here.

Q2 | Post-Tax Welfare

Identify the post-tax welfare on the graph. Be sure to include how the welfare areas changed after the policy. No need to do any calculation here: I'm looking for a graphical and intuitive description of what happened to welfare after the policy. Be as clear as possible.